

Why do reasonably intelligent people fail to anticipate known expenses? Because when they try to work them into their spending plans (budgets), they don't fit. So they simply ignore those expenses until a crisis arrives. To do otherwise would require adjustments in other areas of spending, such as housing, cars, and vacations. This is the head-in-the-sand syndrome.

It was common to see this problem when I counseled engaged couples about their first year's budget. When I asked if they had developed a budget, usually they responded, "Yes, we have, and everything worked out fine."

But when I reviewed their budget with them, it revealed that they had made no provision for clothes, visits to the doctor, car repairs, or vacations. They might be able to convince me that they had a car that didn't break down, and bodies that didn't get sick, or even teeth that don't get cavities, but I absolutely refused to believe they weren't going to Disney World the first year they were married. And most people need to replace their clothes eventually.

I recall a couple who thought they had figured out a way to beat the system. They had financial problems that resulted from all of the above symptoms. In other words, they had a home that was too expensive, two new cars, school loans, and a variety of consumer debt items from department stores. There was absolutely no way their income could ever stretch far enough to manage their expenses, so they charged nearly everything each month, except their utilities (the utility company wouldn't accept credit cards). They had been able to do that for nearly three years without being delinquent on a single bill.

Their method was to charge on one card until the limit was reached and then pay that card off with two or three others. Being a good credit customer, they had no trouble getting their credit limit raised on the first card so they could charge more, and on they went for the better part of three years. Ultimately, the whole house of credit came tumbling down, because it became too large to manage. When their credit binge ended, they owed nearly \$25,000 in credit card debts. They were advised to file for bankruptcy, and they were